NGO Digitalization Needs Assessment Report

1. Executive Summary

This report consolidates input from the Executive Director, Finance/Admin staff, and Program Managers/Field Officers regarding the organization's current systems, challenges, and priorities for digitalization.

The findings highlight a strong reliance on manual processes and fragmented tools such as Excel, Peachtree, paper records, and messaging platforms. Staff report inefficiencies in reporting, data entry, and program monitoring, while leadership emphasizes the need for transparency, accountability, and scalability to support future nationwide expansion.

Two approaches were considered: (1) building a centralized Management Information System (MIS) in-house, and (2) integrating existing, proven systems such as QuickBooks, DHIS2, and mobile data collection tools. This report presents the findings, challenges, desired features, and comparative analysis of these approaches, concluding with recommendations and next steps.

2. Organizational Context

Mission: LIVE-ADDIS strives to empower vulnerable and disadvantaged communities through education, health, and social programs.
Beneficiaries: Individuals, Families, Communities, Schools, and vulnerable groups.
Geographic Scope: Currently active in Addis Ababa, with a mandate for expansion nationwide.

3. Current Tools and Processes

- Finance/Admin: Peachtree, Excel spreadsheets, paper records, and email.
- Program Managers: Paper-based forms, Excel, WhatsApp, and Google Workspace.
- Executive Director's Perspective: Current systems are fragmented, insufficient for organizational transparency, and inadequate for donor reporting and national-level scaling.

4. Challenges Identified

Finance/Admin:
- Manual reporting processes are slow and prone to errors.
- Weak or absent backup systems.
- Limited staff familiarity with existing accounting software.

Program Managers/Field Officers:
- Beneficiary registration and data entry processes are repetitive and time-consuming.
- Delays in communication and reporting between stakeholders.
- Difficulty tracking long-term beneficiary progress and project outcomes.

Executive Director:
- Gaps in institutional capacity.
- Lack of centralized systems to support transparency and accountability.

5. Desired Features

Finance/Admin:
- Automated financial database and improved reporting.
- Secure backup and recovery systems.
- Payroll/HR integration.

Program Managers/Field Officers:
- Mobile-friendly data entry tools.
- Systems for progress tracking and milestone monitoring.
- Automated reporting and internal data-sharing platforms.

Executive Director:
- A central system for easy access to data and reporting.
- Improved transparency and accountability.
- Scalability to support expansion across Ethiopia.

6. Constraints

- Budget: Not yet defined; requires donor and board approval.
- Timeline: Target completion by October 21, 2025.
- Compliance: Specific donor and government requirements require clarification.
- Staff Capacity: Limited IT knowledge; adoption will require training and phased onboarding.

7. Analysis and Insights

- Heavy reliance on Excel and paper-based systems, creating inefficiency and risk of error.
- Automation of reporting is urgently needed across both finance and program functions.
- Finance staff highlight data security and backup as critical requirements.
- Field staff need mobile-first, offline-capable data collection tools.
- Leadership emphasizes accountability, transparency, and readiness for nationwide expansion.

8. Options for Implementation

Option 1: Custom In-House MIS

Description: Develop a fully tailored central MIS that integrates Finance, Donor Management, Beneficiary Database, and Program Monitoring.

Advantages:
- Unified system with one interface for staff.
- Fully customized workflows aligned with NGO operations.
- Long-term control and ownership of the platform.

Disadvantages:
- Long development time (6–12 months before rollout).
- Requires dedicated IT capacity for ongoing maintenance.
- High risk if requirements are unclear or change mid-development.

Option 2: Integration of Existing Systems

Description: Implement widely recognized tools and integrate them for interoperability. Recommended components include QuickBooks Online for finance, DHIS2 for program monitoring and beneficiary tracking, and mobile tools such as CommCare or Kobo for field data collection.

Advantages:
- Faster rollout (2–3 months).
- Lower risk, as tools are already proven in NGO environments.
- Familiar interfaces ease staff adoption.
- Flexible, allowing phased integration and future scaling.

Disadvantages:
- Multiple platforms require staff to adapt to different systems.
- Data silos may persist unless integration is expanded over time.
- Future consolidation may still be required as the NGO grows.

9. Recommendations

Short-Term (0–6 months):
- Implement QuickBooks Online for Finance and Payroll.
- Configure and pilot DHIS2 for program monitoring and beneficiary registration.

Medium-Term (6–18 months):
- Deploy mobile data collection tools for field officers, linked with DHIS2.
- Establish regular export/import workflows between Finance and Program systems.

Long-Term (18–36 months):
- Evaluate the feasibility of transitioning to a custom-built or enterprise MIS once resources, capacity, and compliance obligations are clarified.
- Ensure the chosen path supports scalability for nationwide expansion.

Capacity Building:
- Provide phased training tailored to each stakeholder group.
- Develop user manuals, guides, and a support structure for staff.

Data Protection:
- Implement secure backup and recovery systems.
- Enforce role-based access controls.
- Establish a formal data protection policy aligned with Ethiopian regulations and donor requirements.

10. Next Steps

1. Confirm available budget and funding with board and donors.
2. Select QuickBooks Online and DHIS2 as initial tools and begin pilot implementation.
3. Conduct a 3–6 month pilot with Finance and one program team.
4. Review outcomes, refine workflows, and expand across departments.
5. Develop a long-term MIS roadmap aligned with donor compliance and nationwide expansion.